



**Pak-Austria Fachhochschule: Institute of Applied Sciences and Technology,
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Entrepreneurship Project

ClearTrade (import/export)

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EXECUTIVE SUMMARY

Every year thousands of SMEs in Pakistan, which consist of online sellers, shopkeepers, textile producers, and traders, need to buy products from abroad or export their goods in other countries. At the same time, most of them do not know the customs code for the product, the taxes to be paid, the necessary documentation, and the profitability of international trade operations.

This results in a payment of PKR 15,000-PKR 50,000 to the so-called clearing agent to get such information. For many entrepreneurs, this is the main reason why they cannot export or import their goods, even trying to analyze the market opportunities.

ClearTrade proposes an extremely simple solution based on artificial intelligence technology. It only needs to type one phrase like 'Export 500 LED lights from China' into the system. And in a few moments, it provides information on the correct customs code, duties, shipping costs, total expenses, profitability analysis, necessary documents, and procedures.

To summarize: WEBOC and clearing agents help you prepare documents after you have decided to conduct such trade operations. ClearTrade helps to make a decision about international commerce first and then prepares all required documentation automatically.

THE PROBLEM WE ARE SOLVING

When it comes to importing/exporting in Pakistan, a person who has no specialized knowledge is faced with an expert-oriented system. The list of problems encountered by a small trader willing to import something from China includes the following items:

- The trader does not know what HS Code (a code used by custom authorities around the world to identify any particular good and which determines the customs duties paid by an importer) should be used.
- The person cannot estimate how much customs duty, sales tax, etc. they should pay.
- The trader does not know about WEBOC and how to file declarations via this official website.
- The trader is not aware if they need some permit/declaration to either import or export this specific good.
- The trader is not familiar with a concept of landed cost and thus they cannot evaluate if there will be a profit at all.

- As you see, due to such obstacles, traders have no choice but to hire clearing agents who charge between PKR 15,000 and PKR 50,000 per one declaration. And as a consequence, people willing to conduct successful import/export business simply abandon the idea of becoming involved.

THE SOLUTION: WHAT CLEARTRADE DOES

ClearTrade is an AI-based “trade copilot”. A copilot accompanies you and helps you, not taking control away from you. All the user needs to do is type what he wants to do using plain English like “import 500 LED lights from China”, and ClearTrade will immediately tell him all that he needs to know.

ClearTrade immediately gives you:

- ✓ The proper HS code of the product
- ✓ The duty payable on the product
- ✓ The sales tax (GST) payable on the import/export of the product
- ✓ The extra duties/taxes payable, if there is any
- ✓ Whether there is any reduction in the above costs due to any free trade agreements, such as the one with China
- ✓ The certificates/permits needed before importing/exporting the goods
- ✓ The estimated cost of transporting the goods
- ✓ The total landed cost
- ✓ The estimated gross margin if the products are resold in Pakistan
- ✓ Filled-up trade documents to be printed or submitted
- ✓ The step-by-step procedure to follow

WHY THIS IS DIFFERENT FROM WEBOC

One may well wonder, “Doesn’t this come from WEBOC?” And the answer is, no and the distinction is critical.

WEBOC is an electronic filing service. This is where you put your documents after you have gathered all the information, when you already know the HS codes, your tax rates, etc.

WEBOC assumes that you know all the answers.

ClearTrade is a decision-making tool. It poses the question that must be answered prior to everything else: “Is it even worth trying the trade?”. It gives the trader, even before he invests a rupee, the necessary analysis on the potential worthiness of the product in terms of the real costs involved, and everything that must be done before WEBOC can do its job.

Simply put: WEBOC assists with filing, and ClearTrade with deciding and filing.

HOW CLEARTRADE WORKS

ClearTrade uses three layers of data which combine to provide a service. The user doesn't see any of this, they simply get a simple chat interface. But this is what's happening behind the scenes:

Layer 1: The Rule Book

This is an extensive, neatly organized database with all the details regarding Pakistan's customs tariff schedules, tax rates from the Federal Board of Revenue (FBR), tax exemption notices or SROs and free trade agreements Pakistan has with other nations such as China, Sri Lanka, and Malaysia. Consider this layer to be ClearTrade's rule book. It has all the required rules about taxes and trade in Pakistan.

Layer 2: The Classifier

Now, whenever someone writes down a product name in plain language, say LED Lights, ClearTrade will have to classify it under the correct HS code. For this, it uses AI language matching, which means comparing the name to many different entries in the system and picking up the closest match.

Layer 3: The Live Pricing Layer

In order to give an accurate profit prediction, ClearTrade has to look into the shipping costs, currency exchange rates and market prices (like what other similar products sell for on Daraz or Amazon.pk).

Bringing it all Together

When a user keys in “Import 500 LED lights from China”, the ClearTrade process involves the following:

1. ClearTrade identifies the HS Code for the product.
2. The duties, sales taxes and additional costs for the HS Code are determined.

3. The China free trade agreement benefits in reducing these duties, taxes, and other additional charges are considered.
4. The cost involved in transporting the goods is calculated.
5. The above calculations are added up for the total landed cost.
6. The landed cost is compared to the existing market prices to determine potential profit margins.
7. The necessary documentation and steps of action are provided.
8. All this takes place within a few seconds.

HOW A USER EXPERIENCES CLEARTRADE

The user experience is designed to be as simple as a chat conversation. Here is the journey from start to finish:

1. The user starts ClearTrade and enters his request the commodity, its country of origin and desired quantity.
2. ClearTrade asks the user for further help, presenting him/her with two simple options: either (A) “Show me how and calculate the cost for me,” or (B) “Prepare my documents.”
3. If the user opts for Option A, ClearTrade compiles a comprehensive report including the HS number, all customs duties, taxes, and possible exemptions.
4. ClearTrade proceeds with providing step-by-step advice: the expected profit from the transaction, go-no-go analysis, and instructions for executing WCO procedure.
5. Alternatively, should the user choose Option B, ClearTrade automatically populates all required documents such as commercial invoice, packing list and Form-E.
6. This set of documents is then provided in a package format (as both PDF and Microsoft Word files), complete with a detailed instruction on their use.
7. This is where the user is now ready to trade without having to rely on any clearing agency in the process of obtaining information and documentation.
8. ClearTrade could provide some additional services for the user to consider from arranging for a freight forwarder to upgrade to the Pro membership and/or financing for trade operations.

FUTURE FEATURES

AI Profitability Checker

The user can type something like: “Is there any chance of making a profit through importing power banks from China?” The ClearTrade software will analyse the cost of the product, freight costs, duties, and the present market prices and offer a clear opinion on whether that trade will be profitable or not.

AI Route Finder

The user can enter: “Which is the cheapest nation where this particular product should be imported from?” ClearTrade will look into the sources of this particular item and offer its suggestion regarding the cheapest source of importing the product, such as China, Turkey, UAE, Malaysia, and others.

Auto Documentation

In a single step, you can get all trade documents created, such as Commercial Invoice, Packing List, Form-E, and other documents necessary for export.

TARGET AUDIENCE

This system was created for small business owners rather than large organizations which have their own trade departments. The major beneficiaries will be:

- Importers & exporters
- E-commerce stores on Amazon and Daraz
- Textile exporters
- Micro and handicraft producers
- All kinds of trading firms

According to estimates, the number of small and medium enterprises in Pakistan alone that can benefit from such a system exceeds 500,000 and most of them don't have an easy access to such information.

REVENUE MODEL

There are several easy and mutually supporting ways for ClearTrade to make money:

- ✓ PKR 500 per duty and cost report for users that only require a result without any further assistance.
- ✓ PKR 1,500 per document package for users that require the preparation of trade documents.
- ✓ PKR 2,999 per month subscription for Pro service plan for regular traders that need an unlimited number of reports and documents.
- ✓ Freight forwarder commission for linking users with transportation companies.
- ✓ Customs clear agent commission for users that require human assistance with getting the stamping done.
- ✓ Collaboration with trade financing firms for users that require funding for their trade operation.

BIG OPPORTUNITY

Existing trade applications on the market were primarily made for major organizations, huge companies with specialized trading departments and skilled workers. ClearTrade is created to be utilized by regular people running regular small businesses.

What used to require the employment of specialists like customs experts, clearance officers, and trade counselors has now been turned into a quick 60-second dialogue that makes global trading available to hundreds of thousands of people who are currently deprived of access to such opportunities and represent a largely untouched market.

While the information and regulations that ClearTrade is built upon are freely available online, they can hardly be called organized; they are dispersed, not always updated, and in no way easily accessible in their current form. What creates actual competitive advantage for ClearTrade is organizing all this information and keeping it continuously updated. It is not easy to replicate such an asset.

SUMMARY AND PITCH

"ClearTrade is the AI Trade Copilot for Pakistan. Rather than wasting PKR 15,000 to 50,000 on hiring a clearing agent just to make sense of the customs and paperwork, all traders need to do is input the name of their commodity and country, and immediately get the tariffs, taxes, papers needed, expected profits, and everything else required."

THE CLEARTRADE PROCESS

Step	What Happens	Result for the User
1	User enters product, country, and quantity	ClearTrade understands what they want to do
2	ClearTrade asks: do you want guidance, or documents?	User picks the path that matches their need
3	AI builds the full report: HS code, duties, taxes, fees	User sees the complete cost picture
4	AI fills all documents: invoice, packing list, Form-E	Paperwork is ready without an agent
5	Step-by-step guidance: profit estimate, go/no-go, WEBOC steps	User knows exactly what to do next
6	Ready-to-download document pack (PDF + Word) with guide	User can act immediately
7	User is ready to trade; no clearing agent needed	Time and money saved
8	Optional extras: freight agent, Pro plan, financing	User can grow into a long-term ClearTrade customer